

CONFIDENTIAL — MARCH 2026

Risk Assessment Matrix

Trinity Air Link Transportation System | Project Risk Analysis & Mitigation Framework

Comprehensive identification, quantification, and mitigation strategy for all major project risks across regulatory, financial, technical, market, and operational dimensions. Phased approach design limits exposure while validating assumptions.

0

CRITICAL RISKS

3

HIGH RISKS

6

MEDIUM RISKS

4

LOW RISKS

SECTION 01 · RISK FRAMEWORK

Risk Scoring Methodology

Risk Score = **Impact (1–5) × Probability (1–5)**. Impact ranges from Minimal (<\$1M, <3 months) to Critical (>\$50M or project failure). Probability from Very Low (<10%) to Very High (>75%).

1–6 LOW · MONITOR	7–12 MEDIUM · MANAGE	13–20 HIGH · MITIGATE	21–25 CRITICAL · ACT NOW
4 LOW RISKS (1–6)	6 MEDIUM RISKS (7–12)	3 HIGH RISKS (13–20)	0 CRITICAL RISKS (21–25)

SECTION 02 · REGULATORY RISKS

Regulatory & Compliance

R1 — FAA Approval Delays Regulatory · Phase 1–3 (2026–2028) Score 12 · MEDIUM	
IMPACT & PROBABILITY - Impact 4: \$15–30M overrun, 12–18 month delay - Probability 3: 30% chance - Timeline Risk: Phase 1–3 CONTINGENCY - Phase 1 focus on AV operations only if needed - Staged VTOL after regulatory approval - Revenue diversification via real estate/tech	MITIGATION STRATEGIES - Early and continuous FAA engagement; eIPP enrollment - Hire experienced aviation regulatory consultants - Partner with Archer/Joby who hold existing certifications - Regulatory timeline buffers built into project plan - Participate in FAA Urban Air Mobility initiatives
R2 — Local Zoning & Permitting Challenges Regulatory · Phase 1–2 (2026–2027) Score 9 · MEDIUM	
IMPACT & PROBABILITY - Impact 3: \$5–10M, 6–9 month delay - Probability 3: 25% chance - Specific risk: Fort Worth Historic Preservation Commission	MITIGATION STRATEGIES - Proactive community engagement and education - Historic preservation compliance and partnerships - Economic development benefits demonstration - Professional government relations support - Early City Council liaison engagement

Financial & Market

F1 — Funding Gap / Capital Raising Difficulty

Financial · Phase 1–2 (2026–2027)

Score 16 · HIGH

IMPACT & PROBABILITY

- Impact 4: \$20–40M gap, 12–24 month delay
- Probability 4: 50% chance for full Phase 1 capital
- Phase 1 requires \$20M by Q4 2026

CONTINGENCY

- Phased funding approach with smaller tranches
- Government grant prioritization
- Strategic partner equity investment

MITIGATION STRATEGIES

- Diversified capital structure (equity, debt, grants)
- Multiple investor track engagement simultaneously
- Government incentive programs (Historic Tax Credit, TIGER)
- FAA eIPP co-investment opportunity
- Texas Enterprise Fund application
- Staged milestone-based funding to reduce ask size

F2 — Slower-Than-Expected Market Adoption

Market · Phase 4 (2029–2031)

Score 9 · MEDIUM

IMPACT & PROBABILITY

- Impact 3: Revenue 40–60% below moderate scenario
- Probability 3: 30% chance of conservative scenario

MITIGATION STRATEGIES

- Conservative base case modeled in financial plan
- Phased rollout allowing demand validation
- Corporate partnership pre-sales before launch
- Innovation center revenue provides floor

SECTION 04 · TECHNICAL RISKS

Technical & Operational

T1 — eVTOL Technology Delays or Performance Issues Technical · Phase 3 (2028) Score 15 · HIGH	
IMPACT & PROBABILITY - Impact 5: Core service delayed by 12–24 months - Probability 3: 25% residual risk given certification progress - Note: Joby at Stage 4/5, Archer holds Part 135 — dramatically reduced vs. 2024 CONTINGENCY - Lead with AV services (proven technology) - Innovation center opens ahead of flight operations - Phase 3 capital held until certification confirmed	MITIGATION STRATEGIES - Partner with multiple eVTOL manufacturers (Joby + Archer) - Flexible infrastructure supports multiple aircraft types - Extensive technology due diligence before fleet orders - Pilot program agreements allow performance validation - Technology contingency 15–20% budget buffer
T2 — System Integration Complexity Technical · Phase 3–4 (2028–2029) Score 9 · MEDIUM	
IMPACT & PROBABILITY - Impact 3: 3–6 month launch delay, \$5–10M overrun - Probability 3: 30% chance of integration issues	MITIGATION STRATEGIES - Open API architecture from design phase - Staged integration with extensive testing protocols - Dedicated systems integration team - Technology partner contractual performance guarantees
T3 — Building Structural Assessment Overruns Technical · Phase 1–2 (2026–2027) Score 8 · MEDIUM	
IMPACT & PROBABILITY - Impact 4: \$2–8M overrun above \$2.15M baseline - Probability 2: Low — initial assessment already complete	MITIGATION STRATEGIES - Detailed structural engineering assessment in Phase 1 20% contingency on all structural cost estimates - Historic preservation contractors with T&P experience

SECTION 05 · COMPETITIVE & OPERATIONAL RISKS

Competitive & Operational

C1 — New Entrant / Competing Hub Development Competitive · Phase 2–4 (2027–2030)		Score 8 · MEDIUM
ASSESSMENT • High capital barrier to entry (\$50M+ for credible hub) • Regulatory complexity as natural moat • First-mover advantage creates operational expertise gap	MITIGATION STRATEGIES • Exclusive technology partner agreements where possible • Historic asset creates location lock-in advantage • Speed to market as primary defense • Network effects from established customer base	
O1 — Safety Incident During Operations Operational · Phase 4+ (2029+)		Score 14 · HIGH
IMPACT & PROBABILITY • Impact 5: Reputational damage, regulatory suspension • Probability (residual): Very low given technology track records • Waymo: 88% fewer property damage claims vs. human drivers	MITIGATION STRATEGIES • \$200M+ comprehensive insurance coverage • Safety-first culture from day one; exceed all FAA requirements • Real-time monitoring systems with automatic intervention • Emergency response protocols integrated with FW Fire/EMS • Incident response plan developed pre-launch	

Risk Management Framework Summary

Phased Approach as Risk Control: The 4-phase development structure is itself the primary risk mitigation tool. Each phase requires milestone achievement before capital commitment for the next phase — limiting maximum exposure to phase-level investment (\$20–50M) rather than full project capital (\$129M). Revenue diversification across 5 streams ensures no single service failure is existential.

Risk Category	Highest Risk Item	Score	Status
Financial	Capital raising difficulty (Phase 1)	16	Active mitigation underway
Technical	eVTOL technology delays	15	Reduced: Joby Stage 4, Archer certified
Operational	Safety incident during operations	14	Pre-launch protocols being designed
Regulatory	FAA approval delays	12	eIPP enrollment mitigates significantly
Regulatory	Local zoning challenges	9	Community engagement program active
Competitive	Competing hub development	8	High barrier to entry; monitor only

Risk Management Team

Trinity Air Link Transportation System · Fort Worth, Texas

This risk assessment is reviewed and updated quarterly. Full risk register with detailed scenario analysis and financial stress tests available to qualified investors upon execution of NDA.